

labor, in which each region could do what it did best and depend on the others for what it lacked?

Was it because offensive weapons had achieved supremacy? With the invention of modern artillery, there was no standing behind castle walls to protect a local fiefdom.

Or was it because modern centralized, enlightened government—combined with free trade, free elections, citizen soldiers, and guided capitalism—was simply a better, more productive system? We don't know.

But now we know something. The political/economic model used by European and American nation-states for the last 150 years is going bust.

They can't continue to pay for lifestyle enhancements with debt. Every major developed country in the world now has total debt-to-GDP (gross domestic product) of more than 250 percent. Britain and Japan are near 500 percent. You can do a simple calculation to figure out why that level of debt is unsustainable and why, as we write, Europe is on the verge of a crisis. With debt equal to five times GDP, interest payments take up a large part of output. At zero interest rate, the situation is manageable. But when interest rates move up, which they inevitably do, the debtor can't keep up. Imagine an "ordinary" rate of interest of 5 percent. Five percent of 500 percent is 25 percent.

There is no way a society can afford to use a quarter of its output just to pay for things it has already put into service—and much of which has been fully consumed! As debt payments, the money for past spending, increase, there is less and less money available for the here and now and the future. The economy slumps. As the economy goes down, revenues decline, making less money available for debt repayment. It is an obvious trap—so obvious that the whole system "blows up" soon after you head in that direction.

A centralized, united Europe is not a sure thing. Europe's leaders are fighting to stay in the footsteps of Louis XIV, Napoleon, Hitler, and Monnet: toward a unified Europe. They believe the debt problem can be hidden under the rug of a larger, more centralized political union. But the forces pulling apart the union may be greater than those bringing it together. The end of a 300-year-old trend may have finally arrived.